

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY
MASTER OF BUSINESS ADMINISTRATION (MBA)
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER - III - UNIVERSITY EXAMINATION MARCH - 2018
MB820.2 FINANCIAL DECISION ANALYSIS (OLD)
MB820.3 FINANCIAL DECISION ANALYSIS (NEW)

Date: 30/03/2018, Friday

Time: 10:00 AM to 01:00 PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. The first five questions carry 10 marks. The last question carries 20 marks.

- Q.1 (A) What is the plausible effect on corporate expansion project due to increase in cost of borrowing? The 10 year government bonds yield has climbed to 7.67% according to data available on March 13, 2018. Give your views. 05 10
- (B) Give and explain any two methods of equity valuations. 05

- Q.2 Analyze the following and answer the questions at the end. 10
- Suppose a company is considering two projects A & B. The expected cash flow from these project are as follows,

Year	0	1	2	3	4	5
Project A	(3000)	1200	(600)	(250)	2000	4000
Project B	(3000)	1600	200	400	600	800

Construct the NPV Profile of the projects A & B. What is the IRR internal rate of return of each project? (*Consider discount rate of 12% for both the projects*)

- Q.3 Write shot notes on following, 10
- (A) Risk free rate 05
- (B) Finance lease and operating lease 05

- Q.4 (A) The target debt-equity ratio of Avish Corporation is 4:5. Cost of equity is 18.0 percent. Cost of debt is 12.0 percent. Calculate the cost of capital if, tax rate applicable is 25 percent. 05 10
- (B) Does change in dividend policy affect the share price of firm? Discuss any one theory to check the impact of change in dividend on share price. 05

- Q.5 (A) Discuss the various sources for short term finance in brief. What are the advantage and disadvantages of factoring? Explain with diagram. 05 10
- (B) What is economic value addition? What causes the EVA to increase? 05

- Q.6 Suppose you are the project manager of a company ABC Ltd. Company is planning to set up a machine Tools plant. Your project staff has developed the following cash flow forecast for the project. 20

Cash Flow Forecast for ABC Ltd factory

	<i>Rs. in '000</i>	
	Year 0	Year 1-10
Investment	(20,000)	
Sales		18,000
Variable costs (66.67% of sales)		12,000
Fix costs		1,000
Depreciation		2,000
Pre-tax profit		3,000
Tax (at a rate assumed at 33.33 % of pre-tax profit)		1,000
Profit after tax		2,000
Cash flow from operations		4,000
Net cash flow		4,000

- (A) Discuss various techniques of risk analysis in capital budgeting. 06
- (B) Calculate the Accounting break even. Explain contribution margin ratio, variable cost and fix cost. Give your views on break even analysis of project. 07
- (C) Calculate financial break-even point. (*Assume discount rate of 12 percent where required*). 07